

Chapter 3
Blockchain, Network &
How value Moves

When Rules Replaced People

"In This World, Code Doesn't Bend."

RICO 
MATRIX



A Note To The Reader

This episode is delicate.

If Level 1 opened your eyes, and Level 2 placed responsibility in your hands...

Level 3 explains the invisible roads your value travels on.

This is where confusion usually begins for most people in crypto.

So this episode is written:

- slowly
- clearly
- with stories
- with definitions
- with analysis and forecast

By the end of this episode, you will:

- understand how blockchains actually work
- know the difference between EVM and non EVM networks
- recognize wallet address types
- know how to add networks to a wallet
- understand smart contracts at a foundational level

No rushing.

RICO 
MATRIX

Episodes 1

• HOW BLOCKCHAIN WAS BORN

A Short Story

After the 2008 financial crisis, one idea became clear
Trust had failed at scale.
In 2009, Bitcoin introduced something new

- a public ledger
- shared by thousands
- verified by math

No central owner.
This was called a blockchain



Terminology Explained

Blockchain:

- A distributed ledger where transactions are recorded permanently.
- Ledger: A record book of transactions.
- Distributed: Stored across many computers instead of one.

Metaphor — The Public Note

Imagine a notebook:
everyone owns a copy every page is numbered
pages cannot be removed. That notebook is blockchain.

Pause & Reflect

If everyone could see the same truth... would cheating
still work?

PICO //
MATRIX

Episodes 2

- HOW A BLOCKCHAIN WORKS (STEP BY STEP)

1. A transaction is created
2. It is broadcast to the network
3. Validators check it
4. It is grouped into a block
5. The block is added permanently
Once confirmed, it cannot be reversed.

Terminology Explained

- Transaction: A movement of value or data
- Block: A group of transactions
- Validator / Miner: A participant who verifies transactions
- Confirmation: Network agreement that a transaction is valid

Metaphor — Mailing a Letter

You don't control the mail once it's sent.
Blockchain works the same way.



RICO //
MATRIX

Episodes 3

• NETWORKS ARE CITIES

Some cities are fast.
Some are expensive.
Some are secure.
Blockchains are the same.
Each blockchain is a network

Terminology Explained

- Network: A blockchain ecosystem where transactions are processed
- Mainnet: The live blockchain
- Testnet: A testing version of a blockchain

Metaphor — Mailing a Letter

EVM Compatible Networks (same address format)

- Ethereum
- Binance Smart Chain (BSC)
- Polygon
- Avalanche (C-Chain)
- Arbitrum
- Optimism
- Fantom
- Base

Non EVM Networks (different address formats):

- Bitcoin
- Solana
- Tron
- Cardano
- XRP Ledger
- Aptos
- Sui



Pause & Reflect

Would you live in a fast city, a cheap city, or a secure city?

RICO //
MATRIX

Episodes 4

- EVM VS NON EVM

Core Difference

Core Difference

- EVM (Ethereum Virtual Machine): Executes smart contracts using the same logic
- Non EVM: Uses different programming and execution models

How to Spot Wallet Addresses

- EVM Address: Starts with 0x (same on Ethereum, BSC, Polygon, etc.)
- Bitcoin Address: Starts with 1, 3, or bc1
- Solana Address: Long random letters and numbers (no 0x)
- Tron Address: Starts with T

Sending funds to the wrong network can result in permanent loss

Pause & Reflect

What would you do?

If one wrong click could erase money... would you slow down?



RICO //
MATRIX

Episodes 5

- GAS FEES (THE ROAD TOLLS)

Every network charges a fee.
This fee is called gas.

It pays validators for processing transactions.

Terminology Explained

- Gas fee: Cost of executing a transaction
- Gwei: Unit for measuring gas on Ethereum

Metaphor — Road Tolls

Busy roads cost more.
Empty roads cost less.



PICO //
MATRIX

Episodes 6

• SMART CONTRACTS (CODE AS LAW)

A smart contract is:

A program that runs exactly as written.

No emotions.

No bias.

Terminology Explained

- Smart contract: Self executing blockchain code
- Immutable: Cannot be changed once deployed
- Audit: Security review of contract code

Metaphor — Vending Machine

Insert money.

Choose product.

Receive output.

No argument.

Common Web3 Tools

- MetaMask / SafePal (wallets)
- BscScan / Etherscan (block explorers)
- Remix (contract testing)
- Hardhat / Foundry (development tools)



RICO //
MATRIX

Episodes 7

• HOW TO ADD A NETWORK TO A WALLET

- Open wallet
- 2. Select "Add Network"
- 3. Enter RPC details
- 4. Save and switch

Each network has:

- RPC URL
- Chain ID
- Currency symbol

Pause & Reflect

What would you do?

Would you drive in a city without knowing the road rules?



PICO //
MATRIX

Episodes 8

• ANALYSIS: WHY MULTI-CHAIN EXISTS

No blockchain can optimize everything.

Trade offs exist:

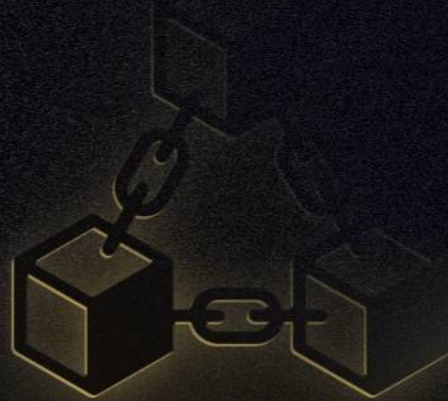
Each network has:

- Speed
- Cost
- Security
- Decentralization

This is why many networks coexist

Analysis Summary

- Ethereum prioritizes security
- BSC prioritizes cost
- Layer 2s prioritize speed



PICO //
MATRIX

Episodes 9

• FORECAST: THE MULTI-CHAIN FUTURE

The future is not one chain.
It is many chains, one experience

Users will:

- not care about networks
- use abstracted wallets
- interact through apps

Forecast Snapshot

- Cross chain becomes invisible
- Wallets become super apps
- Users focus on outcomes, not infrastructure



RICO //
MATRIX

Episodes 10

• PREPARING FOR LEVEL 4

You now understand:

- how blockchains work
- how value moves
- how to choose networks
- how to avoid fatal mistakes

The next level explains
what runs on top of these networks

Tokens.
Protocols.
Tokenomics.

Disclaimer

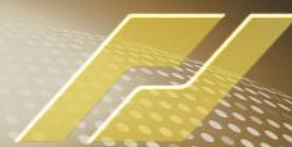
This episode is for educational purposes only.
Rico Matrix does not provide financial advice, profit guarantees, or
investment promises.
Cryptocurrency involves risk.

Always:

- Verify networks
- Double check addresses
- Learn before acting

End of Level 3 Episode
Proceed to level 4 Episode Tokens, Protocols & Tokenomics



RICO 
MATRIX